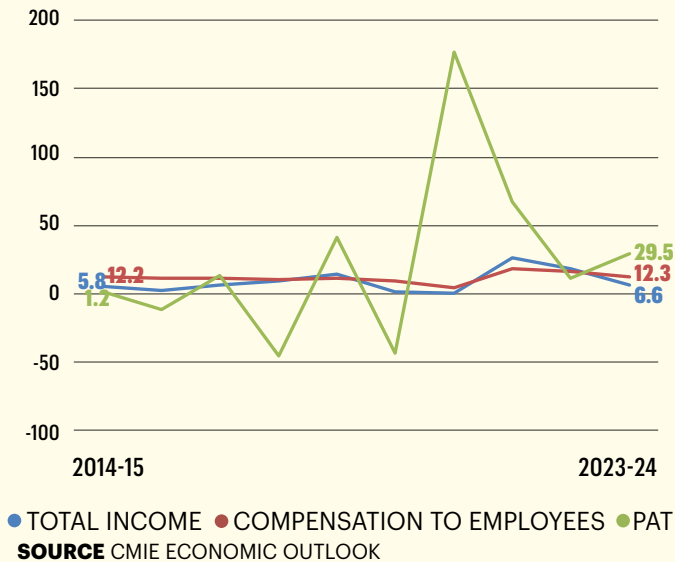


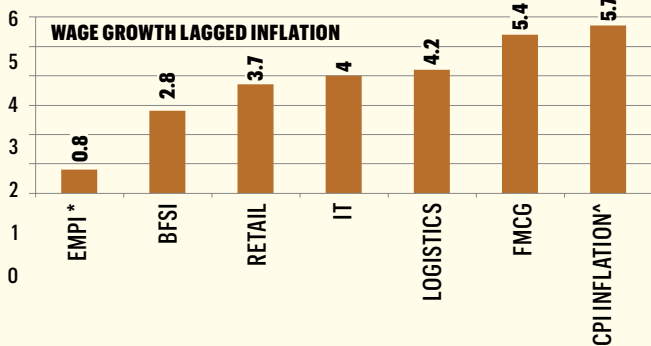
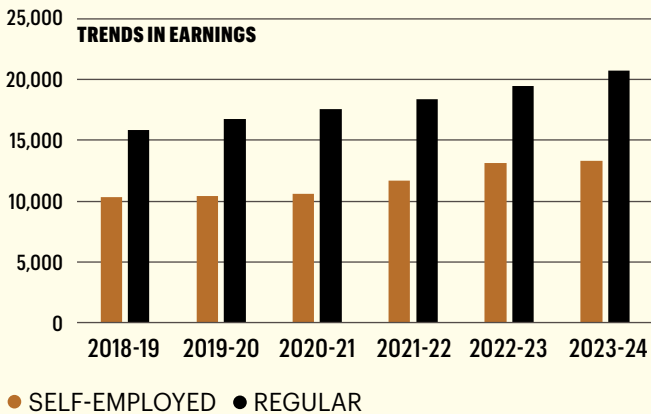
CONSERVING CASH

- ▶ Profit after tax of companies has risen at a faster pace than employee compensation
- ▶ India Inc. seems to be conserving cash amid uncertainties



WAGE GROWTH

- ▶ The average monthly earnings for regular wage/salaried workers and self-employed workers grew at a CAGR of 5% from 2018-19 to 2023-24



*ENGINEERING, MANUFACTURING, PROCESS & INFRASTRUCTURE
SOURCE PLFS; QUESS CORP INTERNAL DATA PROJECTIONS

would be incorrect to assume that firms have been sitting on cash and have not given increments in line with their profitability in recent years. "The muted numbers this year are not a trend. In fact, it is against the trend of what we have seen in the last seven cycles," he says.

Citing the example of consumer facing companies, Tripathi explains that their quarter-on-quarter growth numbers are poor, and they are facing margin pressures, which is why increments in the sector have been low. "We would have been surprised in a scenario where they are doing quarter on quarter numbers over the targets, and still the increment numbers are muted, which is not the case," he says. According to the Deloitte India Talent Outlook Survey, the consumer products sector expects significantly lower budgets for increments in 2025.

Sharma of TeamLease Digital says that after the Covid-19 pandemic, several companies invested heavily in digitisation and automation, which improved productivity and led to an increase in revenue and profit.

"I think increasingly we will see a trend where a company's revenue and profit growth will not be just due to what the employees are doing," Sharma says, adding that people cost is not increasing in a linear fashion with profits.

THE REPERCUSSION

The Economic Survey had warned that higher profits and stagnant wage growth may slow the economy by curbing demand. "Sustained economic growth hinges on bolstering employment incomes, which directly fuel consumer spending, spurring investment in production capacity," it cautioned.

Pant of India Ratings also says that muted urban demand is leading to unstable consumption growth as households dip into savings or take loans to fuel consumption. Some of this has been playing out, though the pain started when Covid hit, and households faced job losses and